

Oracle Corporation (ORCL.US)

Technology · Software - Infrastructure
Large Cap (>\$200B) · Report Date: June 23, 2026
Latest financials: Q2 FY2026 · Model data as of 2026-06-23

SELL

Blended Target: \$133.27

DCF + Comps + Analyst (see cross-check table)

Implied upside: -19.3%

Price (Jun): \$165.16

INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$133.27 (-19.3% vs \$165.16); multi-method valuation after outlier checks.
- Strong revenue growth; high operating margins; elevated leverage; strong roe
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Oracle Corporation (ORCL) — Technology. Oracle Corporation offers products and services that address enterprise information technology environments worldwide. Its Oracle cloud software as a... **SELL** rating; blended target \$133.27. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$475.74B	Shares Out.	2880.5M
52-Week Range	\$134.57 – \$345.72	P/E (TTM)	28.3x
P/B	14.2x	Beta	1.66
Avg Volume	26.51M	Analyst Rec.	Buy
Revenue (TTM)	\$67.36B	Rev Growth	+20.6%
Op. Margin	36.3%	FCF (TTM)	\$-23.69B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2025A	FY 2026A	FY 2027E	FY 2028E	FY 2029E
Revenue (\$M)	57,399	67,357	81,233	93,556	104,192
Revenue Growth (%)	N/A	17.3%	20.6%	15.2%	11.4%
Net Income (\$M)	12,443	17,087	20,607	23,733	26,431
Net Income Growth (%)	N/A	37.3%	20.6%	15.2%	11.4%
Gross Margin (%)	70.5%	65.8%	65.8%	65.8%	65.8%
Net Margin (%)	21.7%	25.4%	25.4%	25.4%	25.4%
ROE (%)	60.8%	40.2%	48.5%	50.6%	53.7%
EPS (\$)	4.32	5.93	7.15	8.24	9.18
Book Value / Share (\$)	7.10	14.76	14.76	16.27	17.08
P/E (x)	38.23	27.84	23.09	20.05	18.00
P/B (x)	23.26	11.19	11.19	10.15	9.67
Dividend Yield (%)	1.1%	1.1%	1.1%	1.1%	1.1%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$94.00	-43.1%	0% (excluded)	Diverges below other methods (49% of median)
Profile template weights	—	—	—	High-growth technology: DCF 10%, Comps 50%, Analyst 40%
Comps — P/E (peer median)	\$133.27	-19.3%	—	Peer median P/E 22.9x
Comps — EV/EBITDA (peer median)	\$147.17	-10.9%	—	Peer median 16.4x
Comps — P/S (peer median)	\$125.12	-24.2%	—	Peer median P/S 5.4x
Comps — Blended (avg. of available multiples)	\$133.27	-19.3%	100%	Included in blend
Analyst consensus (Yahoo Finance)	\$252.64	+53.0%	0% (excluded)	Diverges above other methods (190% of median)
Blended target (weighted)	\$133.27	-19.3%	100%	Comps 100%
Audit (≥30% vs price)	—	—	—	Triggered (upside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	13.10%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	\$16.18B
PV explicit (5Y)	\$83.56B
PV terminal	\$187.22B
Equity value (adj.)	\$270.77B
Implied price	\$94.00
vs. current	-43.1%

INDUSTRY ANALYSIS

1. Industry Overview

Oracle Corporation offers products and services that address enterprise information technology environments worldwide. Its Oracle cloud software as a service offering include various cloud software applications, including Oracle Fusion cloud enterprise resource planning ERP, Oracle Fusion cloud enterprise performance management EPM, Oracle Fusion cloud supply chain and manufacturing management...

2. Key Trends

- Strong top-line growth (20.6% YoY)
- High operating leverage (36.3% margin)
- Above-market volatility (β=1.66)
- Sector: Technology | Industry: Software - Infrastructure

3. Risk Factors

- Elevated leverage (D/E: 363%)
- High market sensitivity in downturns

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MSFT	Microsoft Corporation	\$2.78T	22.3x	15.0x	39.3%	+18.3%
CRM	Salesforce, Inc.	\$125.65B	17.8x	12.1x	18.7%	+13.3%
NOW	ServiceNow, Inc.	\$98.94B	57.1x	32.3x	12.6%	+22.1%
IBM	International Business	\$249.01B	23.4x	17.8x	15.6%	+9.5%
ORCL*	Oracle Corporation	\$475.74B	28.3x	19.8x	25.4%	+20.6%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; elevated leverage; strong roe. Source: Yahoo Finance. Not investment advice.